

The interview has carried on for three hours, and Balodimas's energy seems to be flagging. I suggest that perhaps it might be best to finish the interview in a second meeting. Balodimas readily agrees. I return about three months later (May 24, 2011). I begin our second conversation with a line of questions about parts of his strategy that just don't make sense to me.

It seems to me that what you are really skilled at is trading around a position. In fact, you are so good at it that you often make money on a position even when the longer-term trend is against you. It's like you are really good going up the stairs quickly, but you are often going up the down escalator. Wouldn't your performance improve going up the up escalator? If you traded around a position going with the trend, instead of against the trend, wouldn't you do even better?

Here is a good example of why I don't have any trust in doing that. Recently, silver had an historic run on the upside. I had been eyeing silver for six months. Technically, it was in a bullish pattern. In commodities, more so than in any other asset class, most traders trade the trend. Nevertheless, I thought the market was a short. I watched the market for six months until I thought, *It's time to sell this thing.*

Did anything happen on that day?

It had a reversal, but it was the buildup up to that point that was important. The silver price had nearly tripled in just over a year. The precious metals markets were spooked by the University of Texas taking delivery on \$1 billion of physical gold. There was news on TV every day about inflation. I am seeing all of this and thinking that they are really pushing the story very hard. It felt like everybody was buying silver. Those are the opportunities I look for. I went short the silver ETF. The prior price move up had already been parabolic, and then the rally became even more vertical. There was real money being put to work in silver. If you saw the amount of volume trading in those last four days of the upmove, it was clear that it wasn't retail investors. It was institutions saying they had to be there. The big volume told me that supply was coming into the market. I doubled up during that rally. The market made a new high, and within three days I was down \$4 million on the trade. It